



Public Competition Assessment

26 June 2007

Woolworths Limited - proposed acquisition of Jindabyne IGA Supermarket, Festival IGA Liquor, and Porter's Liquor licence

Introduction

1. On 19 June 2007, the Australian Competition and Consumer Commission (ACCC) announced its decision not to oppose the proposed acquisition of Jindabyne Festival IGA Supermarket, Jindabyne Festival IGA Liquor and the *licence only* of Porter's Liquor by Woolworths Limited (**proposed acquisition**). The ACCC was of the view that the proposed acquisition would be unlikely to have the effect of substantially lessening competition in the relevant markets in contravention of section 50 of the *Trade Practices Act 1974* (the **Act**).
2. The ACCC formed its view on the basis of the information provided by the merger parties and information arising from its market inquiries. This Public Competition Assessment outlines the basis on which the ACCC has reached its decision on the proposed acquisition, subject to confidentiality considerations.

Public Competition Assessment

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:
 - a merger is rejected;
 - a merger is subject to enforceable undertakings;
 - the merger parties seek such disclosure; or
 - a merger is approved but raises important issues that the ACCC considers should be made public.
4. This Public Competition Assessment has been issued because the proposed acquisition is considered to raise issues of interest to the public.
5. By issuing Public Competition Assessments, the ACCC aims to provide the market with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the market to the circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change, because of developments.
6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the

same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.

7. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC's decision, where this is not possible, maintaining confidentiality will be the ACCC's paramount concern, and accordingly a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

The parties

The acquirer: Woolworths Limited

8. Woolworths Limited (Woolworths) is Australia's largest grocery retailer. It operates 761 supermarkets across Australia and is the owner, or joint owner, of 1018 retail liquor outlets. Woolworths owns two supermarkets and associated liquor stores in Cooma.

The target: Jindabyne IGA Supermarket, Jindabyne Festival IGA Liquor and the licence only of Porter's Liquor

9. The assets to be acquired, namely Jindabyne Festival IGA Supermarket (**Jindabyne IGA**), Jindabyne Festival IGA Liquor (**Jindabyne Festival Liquor**) and the *licence only* of Porter's Liquor (**Porter's**) are owned by Aymblack Pty Ltd. Aymblack is owned by Mr Bruce Marshall. Mr Marshall is also the ultimate owner of Jindabyne IGA Express Supermarket (**IGA Express**), Thredbo IGA Supermarket, Perisher IGA Supermarket and a small convenience store at Lake Crackenback resort, none of which will be acquired by Woolworths. All of Mr Marshall's stores are supplied by Metcash. Mr Marshall's liquor stores are supplied by ALM, Metcash's liquor arm.

Other industry participants

10. Coles Group Ltd will open a supermarket in Cooma in April or May 2008. There are also a number of independent convenience stores in the towns surrounding Jindabyne at Berridale, Bombala, Nimmitabel, Delegate and Adaminaby.

Background

11. Jindabyne is a small town in a rural area of NSW, with a resident population of around 4 320 (14 000 in June –September). It has one supermarket and one convenience store. Jindabyne is the gateway to the Snowy Mountains and is therefore heavily dependent on income from tourists, as is the supermarket.

12. Cooma is 62km from Jindabyne and is the largest town in the region, with a resident population of around 8 000. Cooma acts as a commercial centre for around 31 000 residents in the Cooma-Monaro region. There are two Woolworths supermarkets in Cooma and a Coles supermarket is under construction, scheduled to open in April or May 2008. There are also small convenience stores at Berridale (30km from Jindabyne), Thredbo Village (35km from Jindabyne), Lake Crackenback Resort (19 km from Jindabyne), Perisher Village (33km from Jindabyne), Bombala (107 km from Jindabyne), Nimmitabel (99 km from Jindabyne), Delegate (144 km from Jindabyne), and Adaminaby (85 km from Jindabyne).
13. Jindabyne IGA Supermarket and Jindabyne Festival Liquor are situated in the same premises within the Nuggets Crossing shopping centre in Jindabyne. The Jindabyne IGA is a full size, or near full size, supermarket, with 11 checkouts, although it only operates at capacity in the winter peak. Liquor sales account for a substantial proportion of the turnover of the Jindabyne IGA.
14. The Porter's Liquor outlet is situated within the same premises as the Jindabyne IGA Express, which is located about 80m from the IGA Jindabyne. The IGA Express is operated as a convenience store. It is around 1/3 the size of the Jindabyne IGA Supermarket and stays open an hour or two longer depending upon season. Liquor sales are also a substantial proportion of the turnover in the Express Supermarket.

The proposed transaction

15. Woolworths proposes to acquire Jindabyne IGA Supermarket, Jindabyne Festival IGA Liquor and the Porter's Liquor *licence* from Aymblack.

Areas of Overlap

16. Although they are geographically separate, Woolworths and the assets it proposes to acquire overlap in the product markets of supermarket and liquor retailing.

Timing

17. The following table outlines the timeline of key events in this matter.

Date	Event
15-May-2007	ACCC commenced review under the Merger Review Process Guidelines.
25-May-2007	Closing date for submissions from interested parties.
01-Jun-2007	ACCC requested further information from Woolworths. ACCC timeline Suspended.
01-Jun-2007	Decision date postponed from 6 June 2007 to 13 June 2007 to allow for consideration of further information.
07-Jun-2007	ACCC received further information from Woolworths. ACCC timeline recommenced.
07-Jun-2007	Decision date postponed from 13 June 2007 to 19 June 2007 to allow for consideration of further information provided by Woolworths.
19-Jun-2007	ACCC announced its findings.

Market inquiries

18. The ACCC conducted market inquiries with a range of industry participants, including competitors, potential competitors, customers, input suppliers, industry bodies and other interested parties. Submissions were sought via a market inquiries letter and telephone inquiries in relation to the substantive competition issues.

With/without test

19. In assessing a merger pursuant to section 50 of the Act, the ACCC must consider the effects of the transaction by comparing the likely competitive environment post-merger if the transaction proceeds (the "with" position) to the likely competitive environment post-merger if the transaction does not proceed (the "without" position). This is a forward looking exercise. Consequently, if the most likely scenario in the absence of the merger is for IGA Jindabyne and IGA Express to be sold to (or otherwise held by) separate owners, then the ACCC's consideration should take into account this potential for future competition in the absence of the merger, regardless of the fact that the 2 outlets are currently held by one owner.
20. Mr Marshall has received bids from a number of other interested parties. The ACCC found that if the Woolworths acquisition did not proceed, then it was highly likely that Mr Marshall would sell one or both of the Jindabyne stores to one of the other interested parties.

Market One – Supermarket Retailing

Market definition

21. In defining relevant markets, the ACCC takes a purposive approach. The ACCC formed the view that one relevant market was the Jindabyne/Cooma market for supermarket retailing. This geographic market is broader than markets considered in some previous supermarket acquisitions, due to factors unique to this transaction.
22. Consistent with previous supermarket analyses, the ACCC took into account local factors in defining the relevant market. These include the fact that most customers of the Jindabyne supermarkets travel through Cooma on their way to Jindabyne (if they are tourists) or travel from Jindabyne to or through Cooma on a regular basis for employment, to access government services, to attend weekend sporting events and for other reasons (if they are residents).
23. A substantial proportion of those who live in or visit Jindabyne either do grocery shopping in Cooma, or could do so if they wished to, without the need to travel to Cooma specifically for the purpose of grocery shopping. The Cooma supermarkets are also each around 30% larger than the Jindabyne IGA and are considered to have lower prices on many items. Accordingly, market inquiries indicate that they have a larger drawing area than does the Jindabyne supermarket.

24. These factors indicate that the supermarkets at Cooma are far more likely to impose some constraint on the IGA Jindabyne supermarket than would be the case for two supermarkets located 60km apart in a metropolitan area. Accordingly, the local markets for supermarket retailing are significantly larger than the 3-5km radius normally considered by the ACCC in metropolitan supermarket acquisitions.
25. While the Cooma supermarkets impose a constraint on the Jindabyne supermarkets, this appears to be asymmetric; that is, the Jindabyne supermarkets impose only a very weak constraint, if any, on the Cooma supermarkets. Most Cooma residents do not need to travel to Jindabyne on a regular basis, and would therefore have to make a dedicated trip to the smaller IGA Jindabyne supermarket if they wished to switch away from their local Woolworths supermarket.
26. Evidence indicates that the Cooma stores and the Jindabyne stores advertise in both towns, although for some advertising media this may be because the circulation or broadcast areas spill over to non-target audiences.

Conclusion on Market Definition in Market 1

27. The evidence indicates that, as the nearest large supermarkets, the Cooma supermarkets exert some competitive constraint upon the Jindabyne supermarkets. The IGA Express in Jindabyne, which is currently owned by the owner of the IGA Jindabyne supermarket, is likely to impose a degree of constraint on the Woolworths supermarket post-acquisition. However, this is more likely to be in relation to convenience and service levels than price, given that the Express store is considered to have higher prices. Customers are more likely to switch to IGA Express on the basis that it has shorter queues, better parking and faster service at peak times, than they are to switch in response to a price rise by Woolworths.
28. It appears unlikely that the smaller convenience store-type supermarkets in the towns around Jindabyne exert any constraint upon the supermarkets in Jindabyne. For the reasons outlined above, it appears unlikely that the Jindabyne IGA supermarket strongly constrains the Cooma supermarkets (in other words, the competitive constraint is binding in only one direction). The acquisition has therefore been examined within the geographic market of Jindabyne and Cooma.
29. If a narrower market is considered, there can be no lessening of competition, since the acquirer (Woolworths) would not be otherwise active in the relevant market.

Competition analysis

Market concentration

30. Post acquisition, Woolworths will own a supermarket in Cooma, a supermarket in Cooma South and the larger of the two Jindabyne grocery retailers. Mr Marshall will retain the convenience-type Express Supermarket at Jindabyne but may choose to sell it to another buyer later. Coles is currently constructing a supermarket in Cooma, which is expected to open in April or May 2008.

31. Post acquisition, the former Jindabyne IGA (now Woolworths) supermarket will no longer be constrained by the threat of losing customers to Woolworths in Cooma. The ACCC examined the theory that Woolworths would have an incentive to increase prices at Jindabyne in the belief that any customers lost would go instead to Woolworths Cooma (i.e. they would not be lost to Woolworths).
32. However, it appears likely that once it opens, Coles in Cooma will provide a constraint on the Jindabyne store similar to the constraint that Woolworths Cooma currently imposes on IGA Jindabyne. Further, this Coles store will also constrain the Cooma stores. Given its proximity, size, and likely prices, the Coles supermarket is likely to be far better able to constrain Woolworths at Cooma than the IGA Jindabyne currently is.
33. The IGA Express convenience store that will remain in Jindabyne may also provide some constraint on the pricing, or more likely the service levels, of Woolworths at Jindabyne. No such constraint currently exists between the two Jindabyne retailers, since both are owned by Aymblack. However, IGA Express's ability to impose a strong constraint will be limited by its size and the lack of an associated liquor licence.

Substitutes

34. Tourists may choose to bring some or all of their grocery supplies with them to the area. Tourists account for a substantial proportion of the sales at the Jindabyne IGA. Therefore, this practice is likely to be a partial substitute for the Jindabyne IGA, and it is conceivable that some price sensitive tourists would bring their own groceries and alcohol on their next trip to the area if prices rose significantly at the Jindabyne outlet.

Barriers to entry

A. Access to scarce retail sites

35. This may be a barrier to entry, particularly for a new entrant to the national grocery industry or for a small independent, since a landlord may prefer an established supermarket chain as a tenant. Accessing sites is not a significant barrier to expansion for large supermarket chains wishing to enter new local markets, provided that sites exist. It is unclear whether there are any further sites in Jindabyne suitable for supermarkets, with market participants providing differing submissions to the ACCC on this subject.

B. Potential for Expansion of the Jindabyne Express Supermarket

36. There is very limited ability for the Jindabyne Express Supermarket to physically expand. It is located at the end of a strip of shops. Beyond the shopping strip is the public toilets and town hall. A café with a floor area of around 100 m² is on the other side of the supermarket.

C. Economies of scale

37. This may be a barrier to smaller scale entry as some of the costs associated with operating a retail grocery store may be shared between stores, leading to lower costs per store for large chains. These include costs for advertising, store fit-out and rental costs. These economies would not be a barrier for Coles and Woolworths given their size.
38. In regional centres there appears to be some potential to use scale in order to save transport costs. For the present, Mr Marshall will continue to own all of the affected stores, and will therefore bear any transport related cost increases as a result of his reduced grocery volumes, should they occur. It appears unlikely that the increase in costs will be significant.

Grocery/liquor bundling

39. IGA Express/Porter's Liquor is the closest potential competitor in Jindabyne to Jindabyne IGA/Festival Liquor, as it offers a similar food/liquor bundle. The loss of the Porter's liquor licence is likely to weaken the IGA Express store. However, despite the weakening of the IGA Express Store, the acquisition as a whole may still lead to more competition within Jindabyne as the ownership of the IGA Express will be separated from the ownership of the Jindabyne IGA, as opposed to the present situation where both are owned by Aymbblack.

Conclusion on market one

40. It appears unlikely that the acquisition will lead to a substantial lessening of competition in the local supermarket market surrounding the Jindabyne IGA Supermarket. Although the Woolworths stores in Cooma will no longer provide any constraint on the Jindabyne supermarket, the opening of Coles in April/May 2008 is likely to provide an equivalent constraint.

Market Two – Liquor retailing market

Market definition

41. The ACCC considered that another of the relevant markets in this matter was the Jindabyne market in liquor retailing for off-premises consumption.
42. The larger number of liquor outlets than supermarkets in Jindabyne and past analysis of liquor matters tends to indicate that convenience is a more important factor in liquor retail than in supermarket retail, therefore competition may take place at a more local level. However, a significant number of the people who do grocery shopping when they travel to or through Cooma purchase alcohol at the same time.
43. Given the available information and the fact that many of the same considerations relevant to the above analysis of the grocery market are also likely to apply to the liquor market, the ACCC found that Jindabyne liquor retailers are likely to be constrained to some degree by the Cooma liquor retailers. Therefore, the ACCC considered the acquisition on the basis of a liquor retailing market that includes Cooma.

44. If a narrower market is considered, there can be no lessening of competition, since the acquirer (Woolworths) would not be otherwise active in the relevant market.

Competition analysis

Market concentration

45. After the proposed acquisition Woolworths will own the largest liquor retailing businesses in Jindabyne (Jindabyne Festival Liquor). IGA Express/Porter's Liquor is the closest liquor retailer to Jindabyne IGA/Jindabyne Festival Liquor and has the second largest floor area devoted to liquor after Jindabyne Festival Liquor.
46. Pre acquisition, Aymblack owns both of these liquor licences, so they do not compete with each other. Post-acquisition, Woolworths will own both licences, so the concentration of ownership of licences in Jindabyne will be unchanged, although only licence will be traded.
47. As it does not intend to trade the Porter's Liquor licence from its present location, the acquisition will mean that Woolworths will also own the only store that can offer a food/liquor bundle (Jindabyne IGA/Jindabyne Festival Liquor). The ACCC notes that pre-merger, there is also only one owner of stores offering both groceries and liquor in Jindabyne, namely Aymblack. It is unclear whether, in the absence of the proposed acquisition, IGA Express would be sold together with the Porter's Liquor licence to a separate buyer. If it were, this would create a second player offering groceries and liquor, although the IGA Express operates as a small format convenience store, which would be unlikely to impose a strong pricing constraint on a full-range supermarket.
48. Due to the relatively larger size of the Festival IGA Liquor store being acquired compared with its remaining competitors, in addition to the advantage of having an associated supermarket, it appears likely that Woolworths will retain the majority of the customers who would have otherwise patronised the Porter's Liquor business, although it may be expected that some will switch to other retailers, particularly if seeking convenience and faster checkout service.
49. Post-acquisition there will remain within Jindabyne the Lake Jindabyne Hotel Motel walk-in bottle shop (Local Liquor brand) and the Banjo Patterson Inn Hotel walk-in bottle shop (Bottlemart Express brand). Within 5km of Jindabyne, on the road from Cooma, is also the East Jindabyne Liquor Supplies (trading as 'The Bottlo'). There are also three other liquor licences within Jindabyne not associated with bottle shops, although these are unlikely to impose a constraint unless they expand to offer bottle shops.
50. Within Cooma there are at least two non-Woolworths owned bottle shops, Liquorland (Coles) and the Cooma Hotel (Local Liquor brand) and five hotels with retail liquor licences.

Substitutes

51. Tourists may choose to bring their own liquor supplies with them. Tourists account for a substantial proportion of the sales at the Jindabyne IGA. Therefore, this practice may be a partial substitute for the Jindabyne IGA, and it is conceivable that some price sensitive tourists would bring their own alcohol on their next trip to the area if prices rose significantly at the Jindabyne outlet.

Barriers to entry

52. In previous matters, the ACCC has formed the view that state liquor licensing laws are the most significant barrier to entry. In NSW, new prospective licensees must apply to the Licensing Court for approval, including a detailed social impact statement in their application. This may be a prolonged process. Interim approval may be granted prior to the completion of the premises, reducing the delay caused by the application process. Once granted, licenses in rural areas may be relocated to new premises within a 5km radius; in this situation the application process is significantly less onerous than for a new licence. Licences may also be relocated outside the 5km radius but the approval process is more complicated.
53. In order to help independent liquor retailers overcome the barriers to entry, IGA has a program to help prospective independent licensees deal with zoning and regulatory compliance issues.

Conclusion on market two

54. It appears unlikely that the acquisition of the Festival IGA Liquor and the Porter's Liquor licence will lead to a substantial lessening of competition. There is no increase in the concentration of ownership of liquor licences within Jindabyne compared with the present situation, and it is not clear whether Aymblack's two liquor licences would be held by separate owners in the absence of the proposed transaction. In the absence of strong and credible evidence that the counterfactual involves the sale of the licence to separate owners, it is difficult to establish any potential substantial lessening of competition. Further, a number of competing liquor licences will remain in Jindabyne and Cooma.
55. Markets Three and Four – liquor and supermarket wholesaling markets

Market definition

56. The ACCC considered that the following markets were also relevant to this matter:
- the NSW wholesale market(s) for products sold in supermarkets (Market Three); and
 - the NSW market for the wholesale supply of liquor to retailers for off-premises consumption (Market Four).

Competition analysis

57. Metcash is the supplier of the majority of the products sold by independent supermarkets and independent supermarket chains. Metcash, including its subsidiaries and associates, is the most significant wholesale supplier other than Coles and Woolworths to these markets.
58. The loss of sales due to the acquisition may have an amplified effect upon Metcash due to high fixed costs associated with grocery wholesaling. However, it appears that the loss of sales as a result of the acquisition will be small relative to Metcash's total sales, as reported in its June 2007 annual report.
59. Therefore, in relation to Markets 3 and 4, it appears unlikely that the transaction will significantly decrease the market share or buying power of Metcash in either market or significantly increase Woolworths' market share or buying power in either market.

Conclusion on markets three and four

60. It appears unlikely that the effect of the acquisition at the wholesale level will substantially lessen competition.

Other suppliers

61. The businesses stock a number of products from local producers including local wines and cheeses. The businesses are also supplied with transport services locally. A number of other customers and potential customers will remain for these businesses and it appears unlikely that the acquisition, which may remove one potential customer for these suppliers if Woolworths is not considered a potential customer for these local producers, will affect the relevant markets of these suppliers in their entirety.

Conclusion

62. On the basis of the above, the ACCC formed the view that the proposed acquisition of Jindabyne Festival IGA Supermarket, Jindabyne Festival IGA Liquor and the *licence only* of Porter's Liquor by Woolworths Limited would not be likely to result in a substantial lessening of competition in the relevant markets in contravention of section 50 of the Act.